

Cholamandalam Investment & Finance Company Ltd

CHOLAFIN · Financials / Consumer Finance

ROE

17.46%

ROCE

3.38%

Net Profit Margin

17.85%

D/E

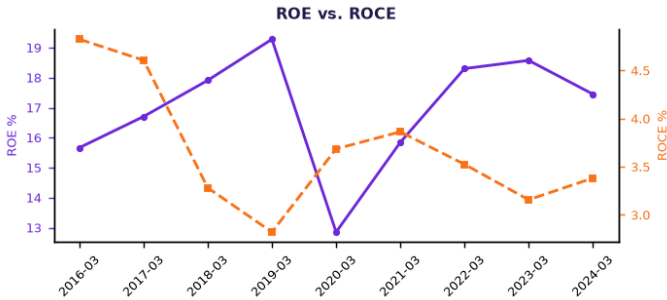
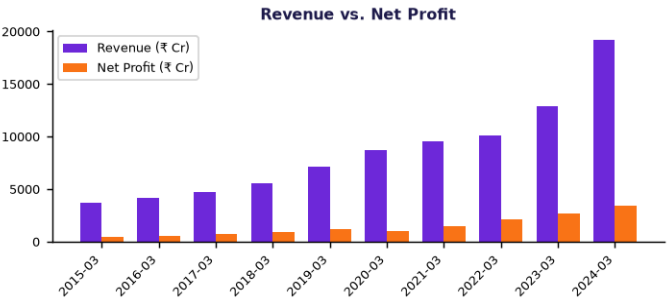
6.86

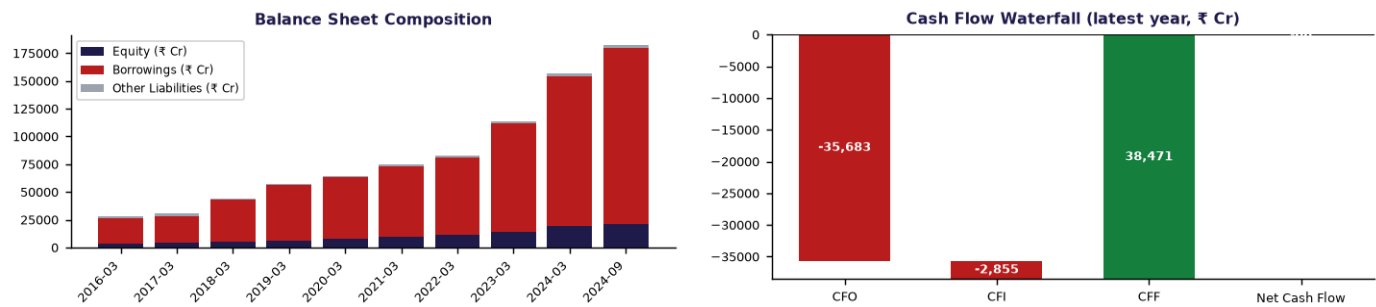
Revenue CAGR 5yr

21.94%

FCF (Rs. Cr)

-38,538





Pros

- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (79% confidence)
- ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (78% confidence)
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (67% confidence)
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (66% confidence)

Cons

- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (93% confidence)
- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (84% confidence)
- ✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality (80% confidence)
- ✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure (64% confidence)

Capital Allocation Pattern: **Growth Funded by Debt**